START-UP STRUCTURE

Business	Pros	Cons
Sole proprietorship	Low cost, easy to set up, minimum of financial reporting	May be seen to lack credibility; challenge to raise capital
Partnership	More input, more potential to raise funding	Harder to dissolve in case of failure; partners liable for debts
Limited company	Low risk of personal liability; tax benefits; dividends can supplement wages	More financial reporting necessary; more paperwork
Limited liability partnership	Personal liability of partners is limited to the amount they invest in the business	Must file annual accounts; can be dissolved once a partner leaves

75%
of all US start-ups failed between 2004 and 2010

Research market
Study your proposed target market and potential competitors, and evaluate the viability of the idea.

Decide structure
Choose a business structure that suits your initial needs, but also allows flexibility for growth.

Devise a plan
Draw up a plan (*see pp.32–33*), including your goals, mission statement, and key financial information.

Obtain backing funds
Consider a business incubator if the business requires large-scale support.

Set up finances
Include an accounting and cash-flow system, sales tax if applicable, and bank account.

Start marketing
Plan a marketing campaign. Run a test and make any refinements to the message or strategy.

LAUNCH